You can.

How do you go long a bubble and protect yourself?

When it starts to go down, you sell it.

It turned out that the Nasdaq move up was relatively smooth, but a bubble could be very volatile.

That's when you don't get involved. Actually what I've learned is that bubbles last a long time, and that there's money to be made out of bubbles.

Without the benefit of hindsight, how could you play a Nasdaq-type move now?

The main thing about bubbles is that you need to be early. The worst thing you can do in a bubble is to be stubborn and then late to convert. I have avoided late conversions. But what I am trying to learn is to be an earlier convert to things that make no sense. I have an aversion to things that make no sense, and I should get over that.

I guess that sometimes the reason for a bull market is psychological rather than fundamental, and participating in the euphoria of a psychological move is itself the rationale for the trade.

Yes, and I don't mind that. What I have difficulty with is when the fundamentals are in conflict with the euphoria. I have tended to be premature in worrying about the conflicting fundamentals. I think in terms of the next 10 or 20 years I'd like to do a better job of monetizing other people's irrational euphoria.

So, one of your shortcomings has been in letting your rational assessment of a situation keep you from participating in a psychologically driven trade.

Yes, failing to participate in markets when the fundamentals are less important than the psychology.

But how do you recognize that type of situation?

Well, that's the key question, isn't it? [He laughs.] There are various gauges. A simple one is just price action. If it trades like a bull market, it's a bull market. Another indication is how passionately people defend